



Blackstone's Acquisition of Juno Hair

September 25th, 2025



BORACAY

FCRC Fall 2025, Team Boracay

Woongjae Joo

Table of Contents

I. Industry Overview

1. Industry Overview
2. Competitive Landscape

II. Company Overview

1. Company Overview
2. Business Overview
3. Blackstone's Deal Overview

III. Investment Highlight

1. Premium Positioning Driving Earnings Resilience
2. Unlocking Value through Rental Growth & Synergies
3. Global Expansion of a Premium Beauty Platform

I. Industry Overview

1. Industry Overview
2. Competitive Landscape

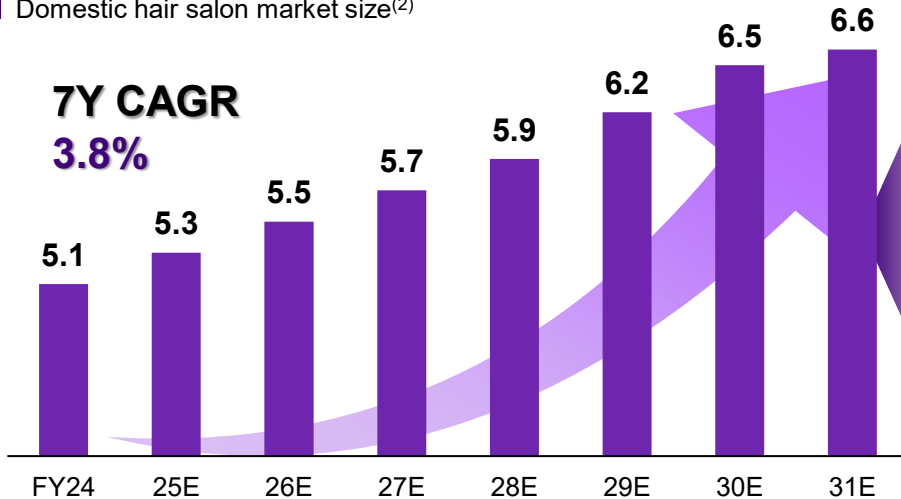
Industry Overview

Domestic hair salon market is projected to grow steadily at a 3.8% CAGR, supported by two profit models—direct operations and franchising

Domestic hair salon market growth

(USDbn)

■ Domestic hair salon market size⁽²⁾

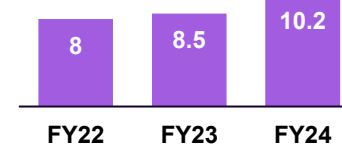


Key driver of market growth

1 Rise of K-beauty

(USDbn)

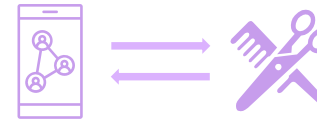
■ K-cosmetic export



- **Increase in K-beauty exports** driven by global demand for Korean cosmetics, skincare, and cultural influence

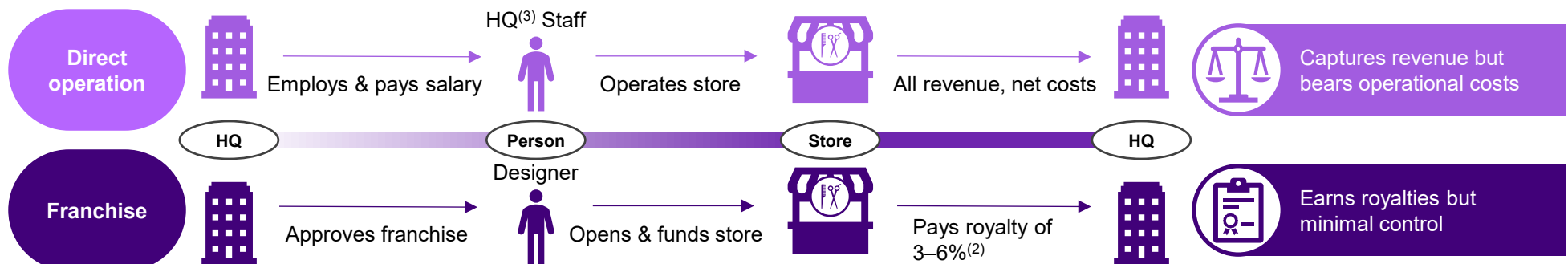
- **Spillover effect to hair salons** as Korean hairstyle trends and premium service adoption rise in parallel with K-beauty's global image

2 Social media



- **SNS⁽¹⁾** accelerate trend diffusion of K-hairstyles into global viral content, creating **spillover demand for salons** as consumers replicate influencer looks and driving higher ASP

Profit model



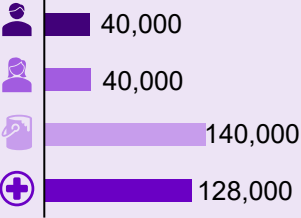
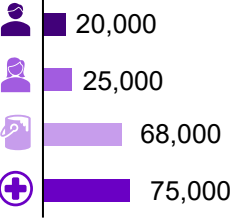
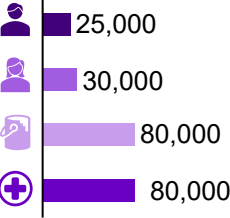
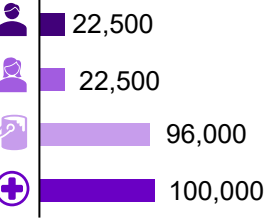
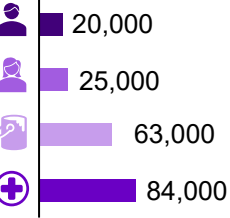
Source: Company Filings, Market Intelligence

Notes: (1) Social networking service; (2) Royalty based on industry average; (3) Headquarters

Competitive Landscape

Juno Hair outperforms peers with the highest average franchise store revenue, supported by both direct operations and a premium positioning strategy

Landscape of competitors

		JUNO HAIR	 RIAHN	LEE CHUL HAIRKERKER	PARK SEUNG CHOL HAIR-STUDIO	LEEKAJA
Establishment Year		1982	1999	1998	1981	1995
BM ⁽¹⁾	Direct-Operation	✓	✗	✗	✓	✗
	Franchise	✗	✓	✓	✓	✓
# of Stores		159	428	168	205	120
Average Store Revenue ⁽¹⁾ (KRWmn)		1,313	291	367	448	410
ASP ⁽²⁾ (KRW)						

Source: Company Filings, Market Intelligence

Notes: (1) Based on FY22; (2) Average selling price; (3) Men's cut; (4) Women's cut; (5) Treatment

II. Company Overview

1. Juno Hair Company Overview
2. Business Overview
3. Blackstone's Deal Overview

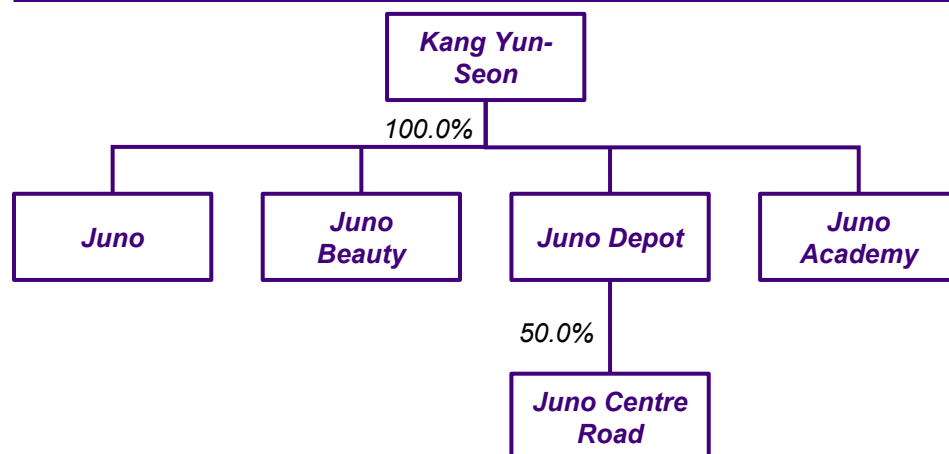
Company Overview

Juno Hair is Korea's leading premium salon brand with strong financial performance, diversified business segments, and a growing international footprint across 5 countries

Company Profile

- Founded in **1982** by CEO **Kang Yun-Seon**, Juno Hair has grown from a single salon in Donam-dong, Seoul, into Korea's leading premium hair salon chain with nationwide scale
- Expected to be acquired by Blackstone in 2025**, with the founder retaining leadership, to accelerate domestic growth and international expansion through strategic investment and expertise
- Operates **~160 salons** and **employs 3,300+ staff**, positioned as the country's #1 premium salon brand with standardized service quality and strong stylist training infrastructure
- Recognized for premium positioning and customer loyalty**, supported by a predominantly direct-operated model and brand reputation that drives pricing power and resilience in Korea's competitive beauty services market

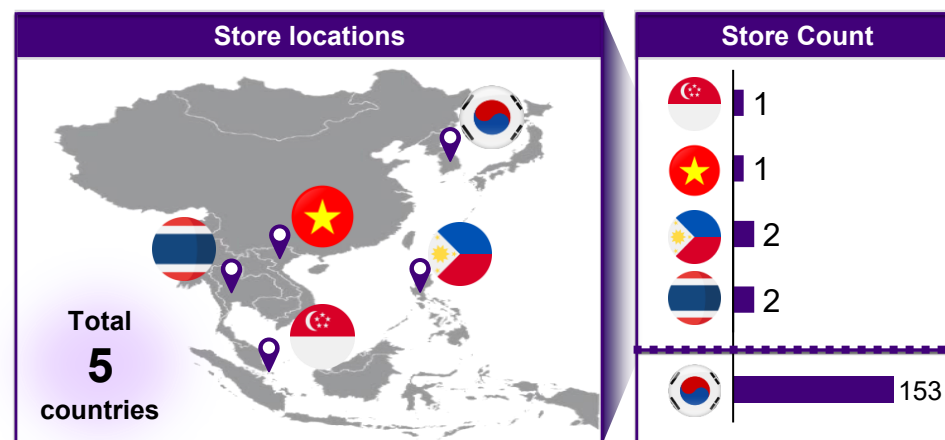
Organization Structure



Key Financials⁽¹⁾

(KRWmn)	FY20	FY21	FY22	FY23 ⁽²⁾	FY24 ⁽³⁾
Revenue	42,033	45,311	68,990	80,579	64,967
Growth (%)	(5.6%)	7.8%	52.3%	16.8%	(19.4%)
Gross Profit	33,018	35,261	54,963	53,230	46,695
Margin (%)	78.6%	77.8%	79.7%	66.1%	71.9%
EBITDA	11,471	11,893	3,648	8,454	6,984
Margin (%)	27.3%	26.2%	5.3%	10.5%	10.8%
EBIT	11,559	9,369	18,996	26,662	27,024
Margin (%)	27.5%	20.7%	27.5%	33.1%	41.6%
Net Income	6,153	11,771	14,648	19,142	21,088
Margin (%)	14.6%	26.0%	21.2%	23.8%	32.5%
Total Assets	240,261	263,664	306,669	338,747	328,999
Total Liabilities	89,405	101,037	84,695	142,369	120,680
Net Debt	(6,539)	20,248	17,589	39,509	38,910

Global Network



Source: Company Filings, Market Intelligence

Notes: (1) Calculated by aggregating individual business division financials; (2) Juno Centre Road included starting FY23; (3) FY24 Juno Academy excluded due to undisclosed financials

Business Overview

Juno Hair's main income stream stems from premium hair services, while diversified revenue from product sales, education, and real estate enhances stability and growth potential

Hair		
01	 Haircut & Styling Core service generating majority of revenue	 Premium Salon Higher ASP through luxury positioning
	 JUNO HAIR	 Avenue JUNO
	Core premium service platform driving recurring revenue	

Product		
02	 Private Brand Haircare products sold in salons	 Retail Distribution Additional product upselling at stores
	 TRIA MILIA	Juno Depot
	Exclusive PB products enhance margins and brand equity	

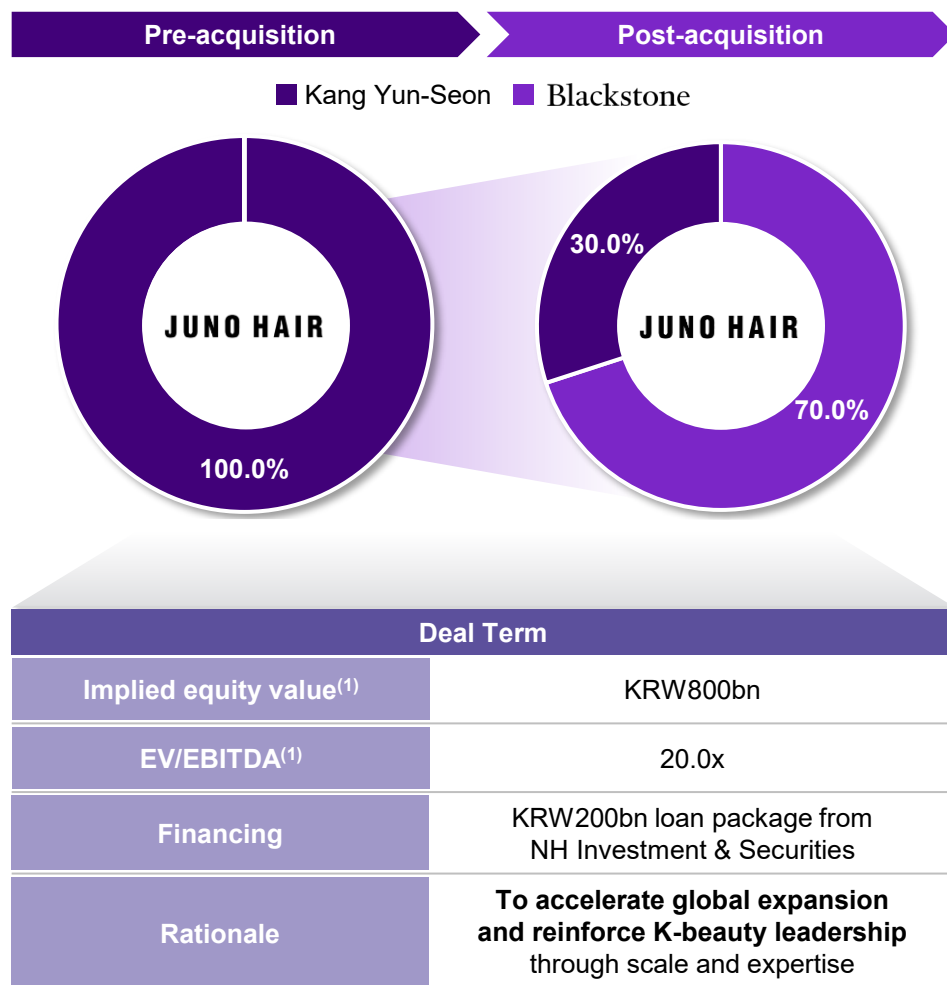
Education		
03	 Training Program In-house academy offering online & offline courses	 Talent Pipeline Ensures sustainable growth of salon network
	 JUNO ACADEMY	JUNO HAIR
	Stylist academy ensures service consistency	

Real Estate		
04	 Lease Income Rental fees from flagship stores and franchise properties	 Asset Appreciation Capital gains from prime-district real estate holdings
	 Juno Depot	Juno Centre Road
	Stable lease revenue with upside from asset appreciation	

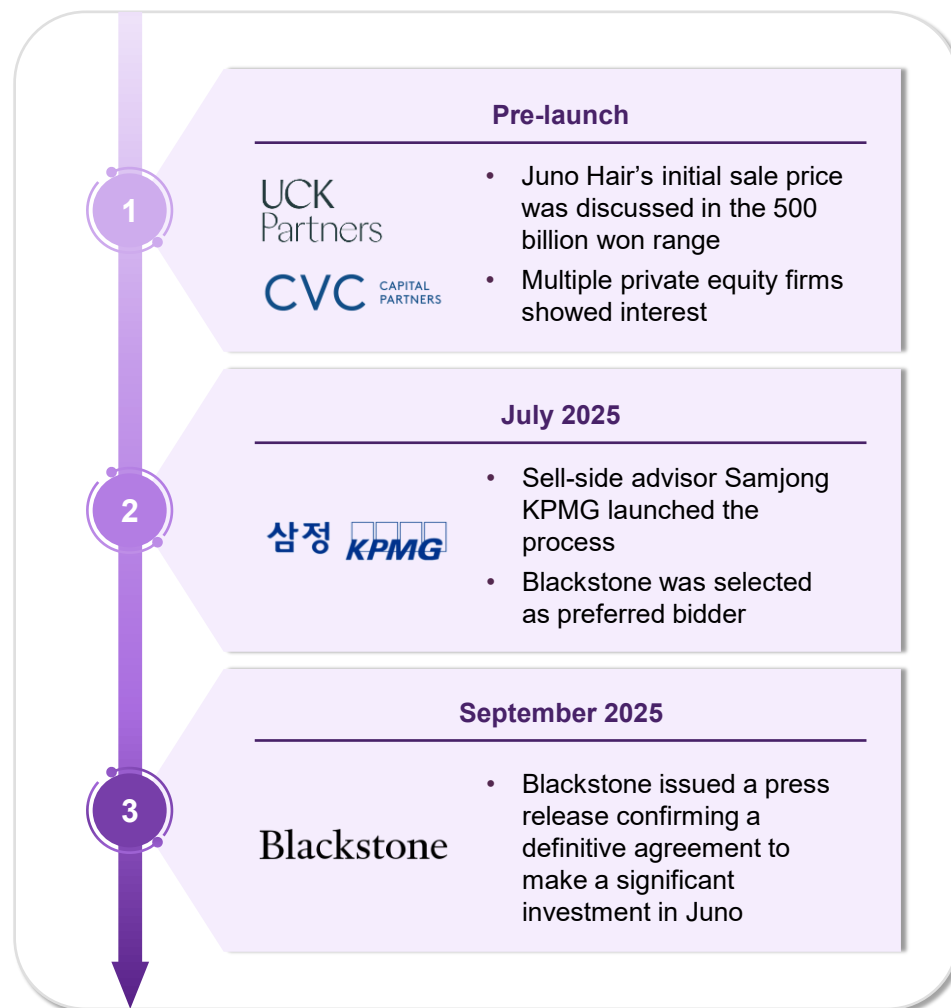
Deal Overview

Blackstone signed a definitive agreement to acquire a 70% stake in Juno Hair at a KRW800bn valuation, underscoring confidence in Juno Hair's premium K-beauty positioning

Deal structure



Deal timeline



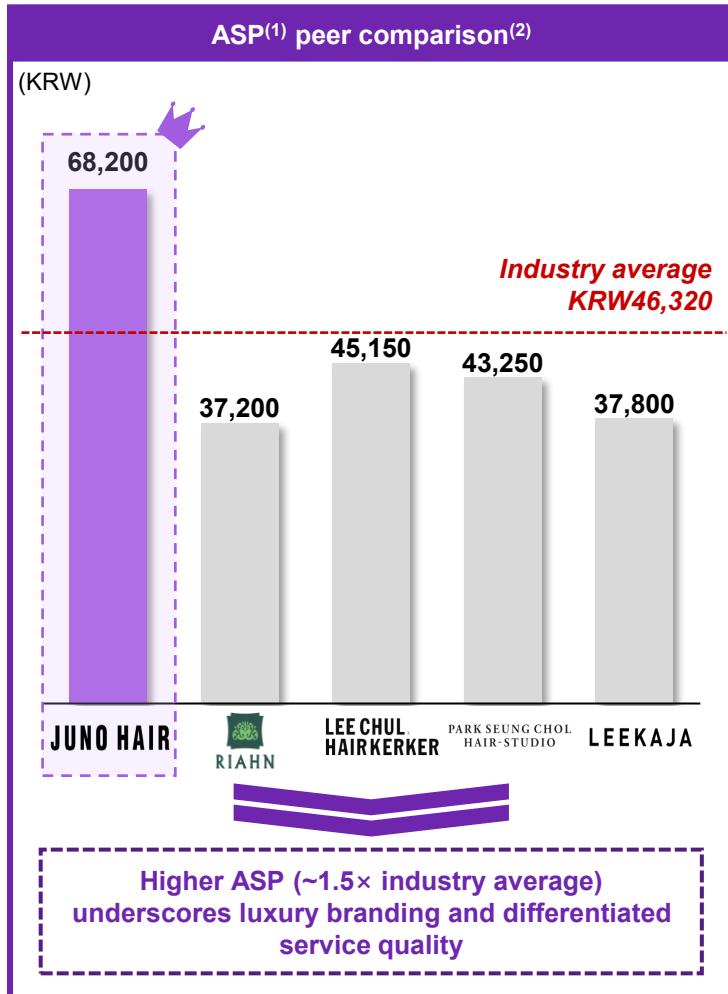
III. Investment Highlights

1. Premium Positioning Driving Earnings Resilience
2. Unlocking Value through Rental Growth & Synergies
3. Global Expansion of a Premium Beauty Platform

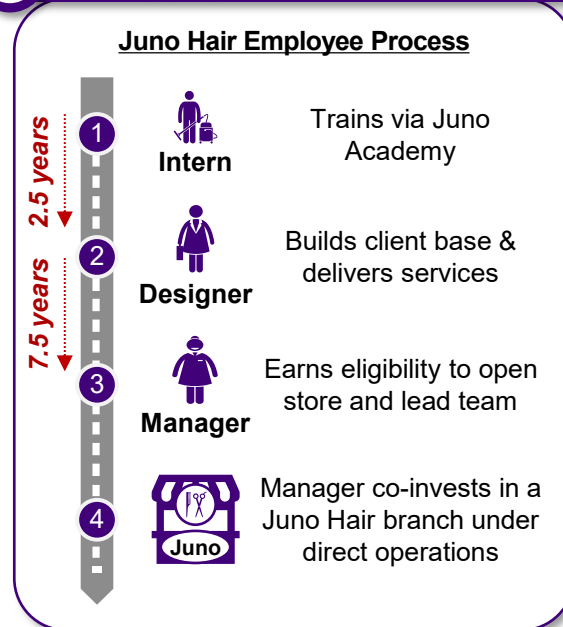
Premium Positioning Driving Earnings Resilience

Juno Hair reinforces its premium positioning with the highest average selling price among peers, supported by rigorous stylist training and exclusive private brand products that ensures stable, recurring earnings

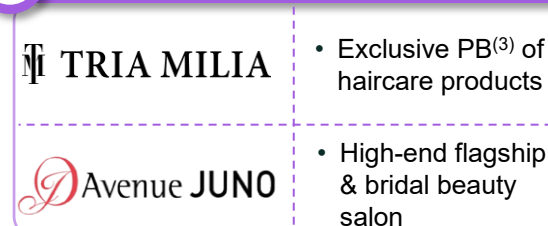
Premium positioning



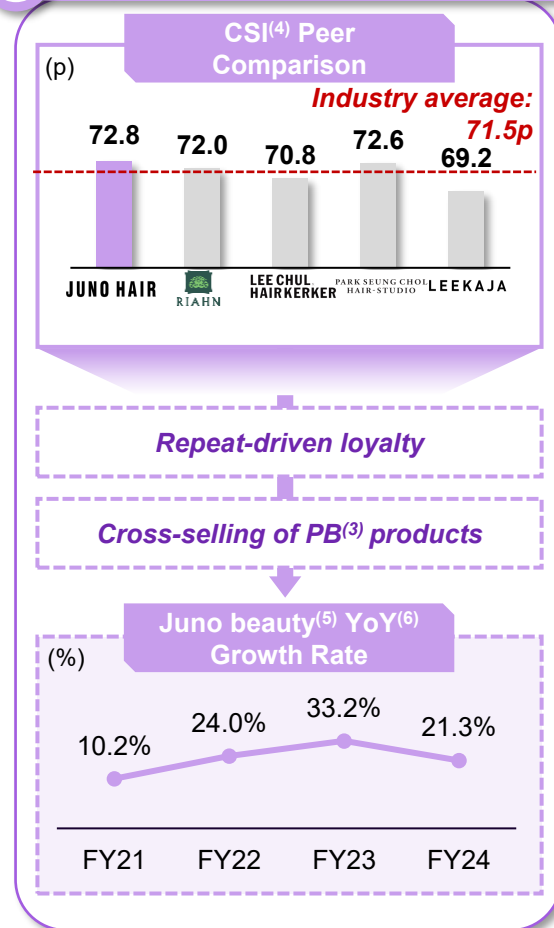
1 Training program



2 Premium brands



3 Implications

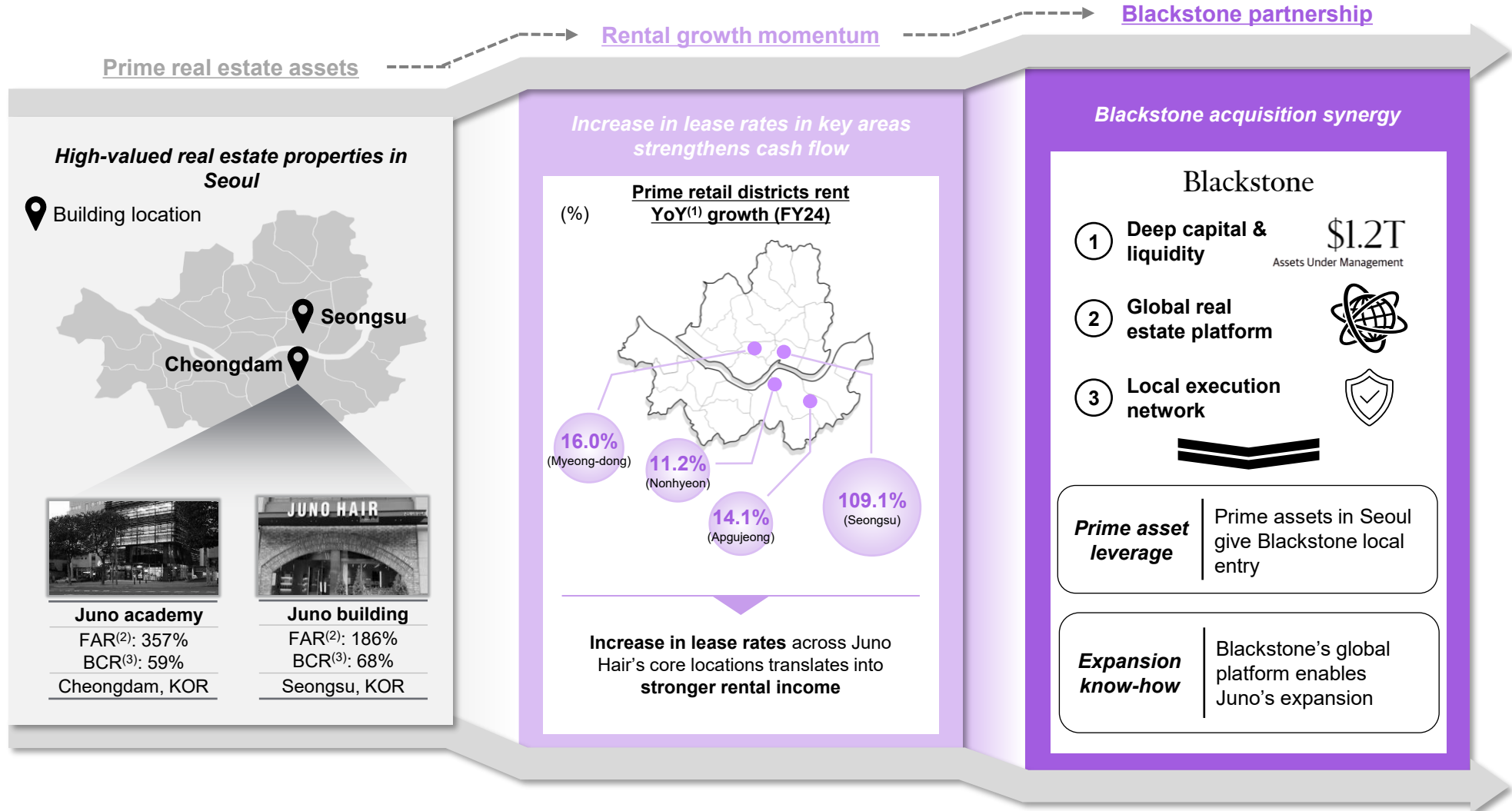


Source: Company Filings, Market Intelligence

Notes: (1) Average selling price; (2) Calculated through weighted average; (3) Private brand; (4) Consumer satisfaction index; (5) Juno Beauty was selected as it best represents the company's core business

Unlocking Value through Rental Growth & Synergies

Rising rental income from Juno Hair's prime Seoul locations, reinforced by Blackstone's capital and global platform, translates into stronger cash flow generation

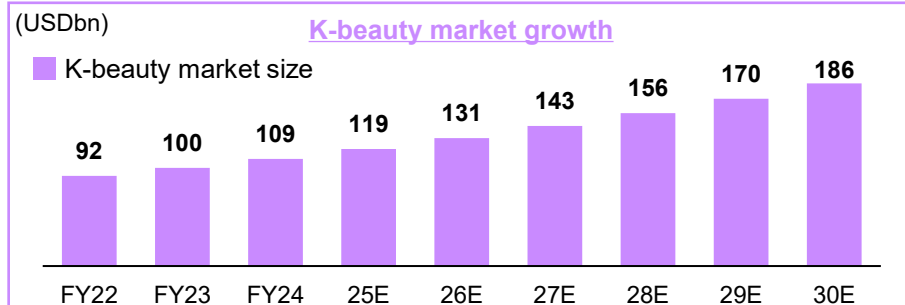
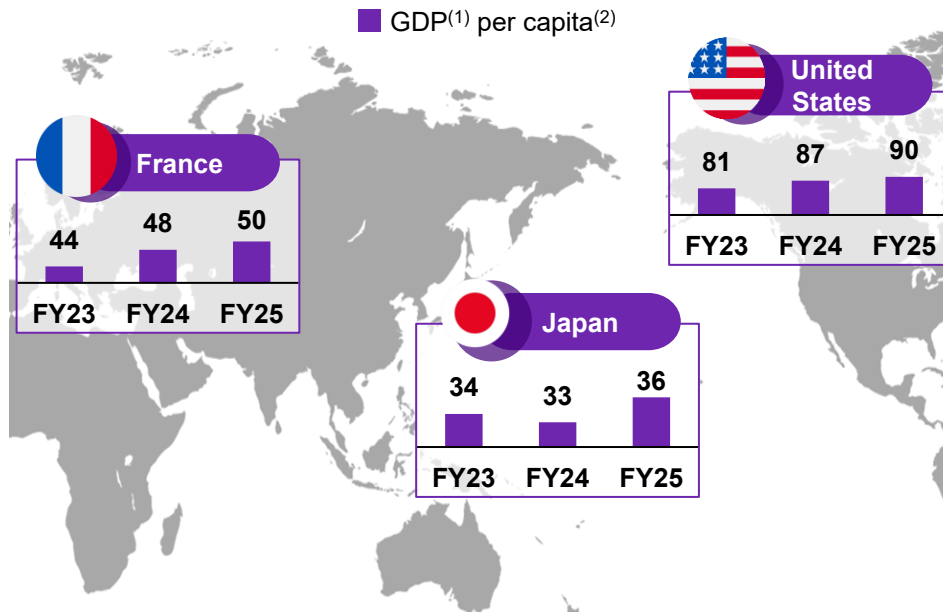


Global Expansion of a Premium Beauty Platform

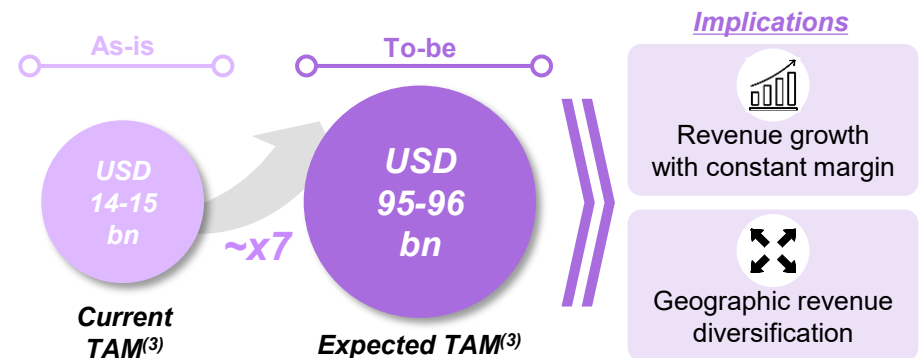
Riding global K-beauty market growth, Juno Hair's entry into high-income countries drives revenue growth and diversification, enabled by its replicable platform and localization strategy

Expansion plans and strategic implications of Blackstone acquisition

Expansion plans



Importance of global expansion



How it will be achieved



Scalable platform

- Replicable salon model with standardized training and career tracks, ensuring consistent premium service quality across new markets



Localization strategy

- Replicate success in APAC markets (e.g., Singapore, Vietnam) by tailoring offerings to affluent districts, reinforcing K-beauty's aspirational appeal



Finance Case Research Club
Team Boracay